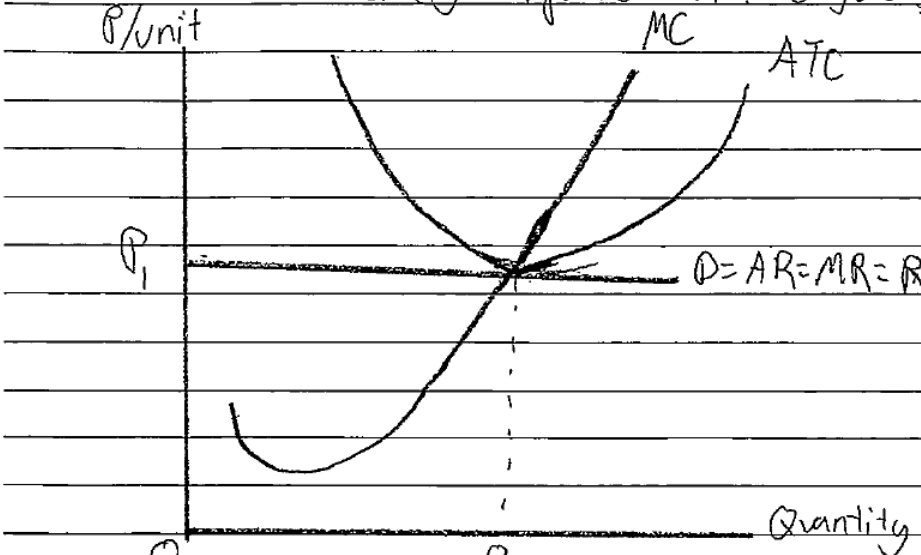
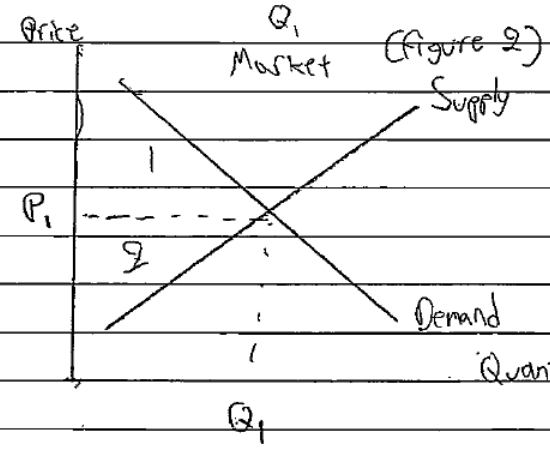
1

ca) A perfectly competitive firm is considered a standard for how an efficient market should operate. There are some key characteristics which distinguish a perfectly competitive firm. Firstly, it consists of many small firms which sell homogenous products, which refer to undifferentiated products which are perfectly substitudaple to one another, Also, in a perfectly competitive firm a key assumptions which characterizes its inability to earn normal profits in the long run is its non existent barriers to entry, barriers to entry can take the form of economies of scale, product differentiation and or natural barriers, Another assumption is that there is perfect information within this market structure since consumers are aware of all possible substitutes and firms are aware of all existing firms, All these assumptions lead to ~~the~~ a perfectly competitive firm to have no market power.

Perfectly competitive firm: (figure 1)

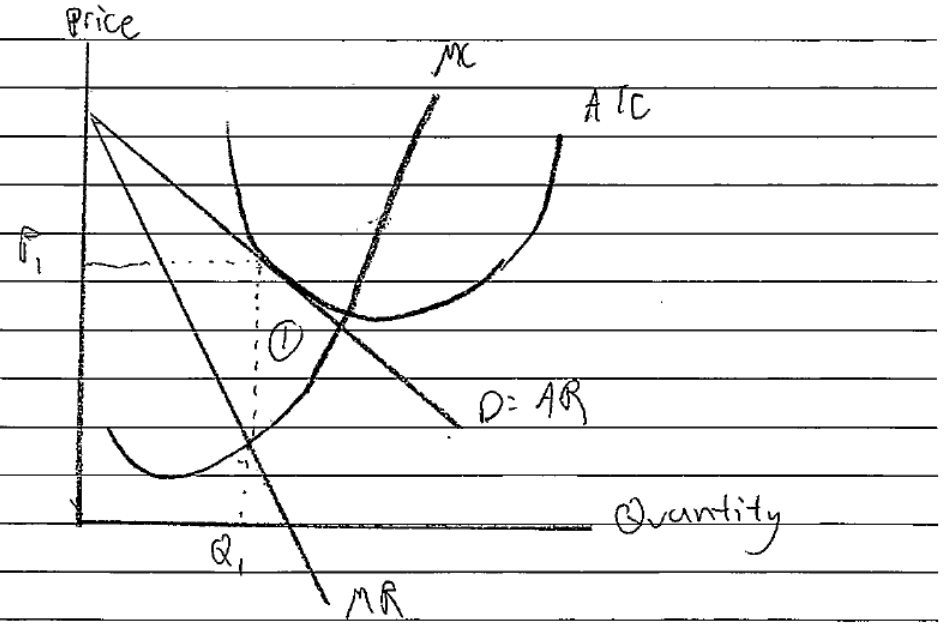




price taker

Due to the goods being perfectly substituble and the market has perfect information the demand curve of a perfectly competitive firm is price elastic unlike a monopolistically competitive firm. Also, D=AR=MR because if a firm charges a higher price it will earn zero revenue and if it charges a lower price again it will receive lower revenue since at (P_1) it can sell all its existing output.

1 Ca) on the other hand a monopolistically competitive firm is characterized by its lack of barriers to entry, meaning like a perfectly competitive firm it will be unable to reap normal profits in the long run. However, unlike a perfectly competitive firm, it will experience some degree market (monopoly) power as a result of its products being differentiated, ~~and~~ also since a monopolistically competitive firm consists of many small firms there is bound to be imperfect information, as firms are not aware of the practices of other firms and consumers ~~cannot~~ are not aware of all possible substitutes within the market.



As discussed since a monopolistically competitive firm enjoys some degree of

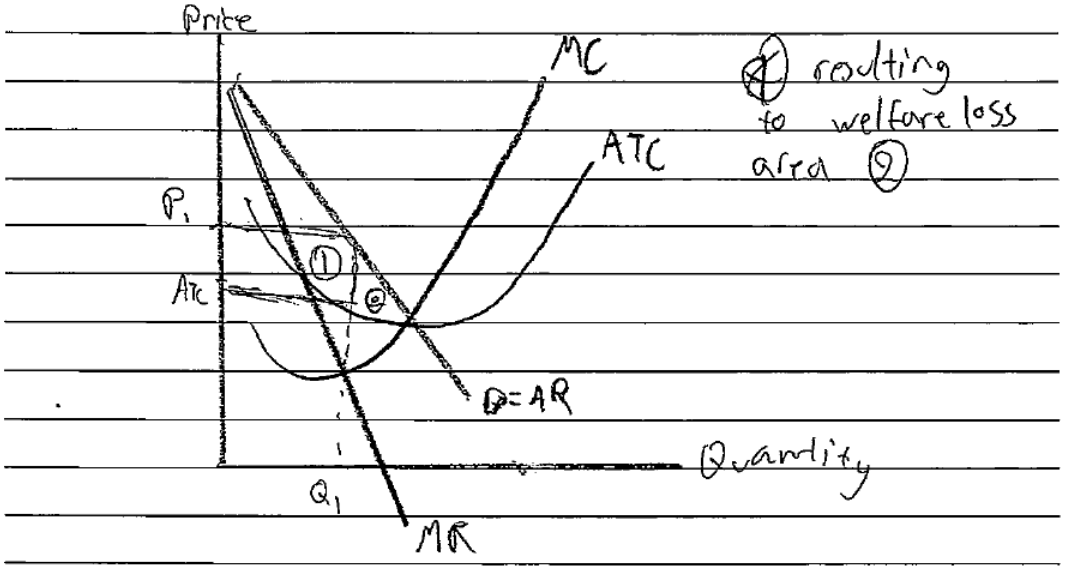
monopoly power it will face a relatively less price elastic demand curve since products are differentiated and there is imperfect information. → price maker

However, in accordance to efficience since a perfectly competitive firm always produces where P = MC where in the market (Figure 2) area 1 which is consumer surplus and producer surplus are maximized. This means a perfectly competitive firm will be allocatively efficient unlike a profit maximizing monopolistically competitive firm which produces where MR = MC. Also, since a monopolistically competitive firm does not produce where Minimum ATC lies this means that it is productively inefficient unlike a perfectly competitive firm. Lastly since a monopolistically competitive firm enjoys some differentiation and little market power this may induce it to be X-inefficient unlike a perfectly competitive firm. But due to the allocative efficiency welfare loss ① is created.

1 (b). Market power refers to the degree of market share which a market possesses. There are many forms of market structure which enjoy significant market power, such as natural monopolies, monopolies, oligopolies. In this essay will focus on comparing between natural monopolies which have a high degree market power monopolies which also have a high degree of market power and a perfectly competitive firm which has no degree of market power.

Let's talke for example microsoft, at its early stages it had over 70% of market share when the (%) that characterizes a monopoly is 50%, this may be due to the fact that microsoft was introducing a unique product in the market, and computers in general and manufacturing involved with them have very high barriers to entry, furthermore, no substitutes existed and there is misinformation (imperfect) since consumers are not aware of any substitutes. Lastly,

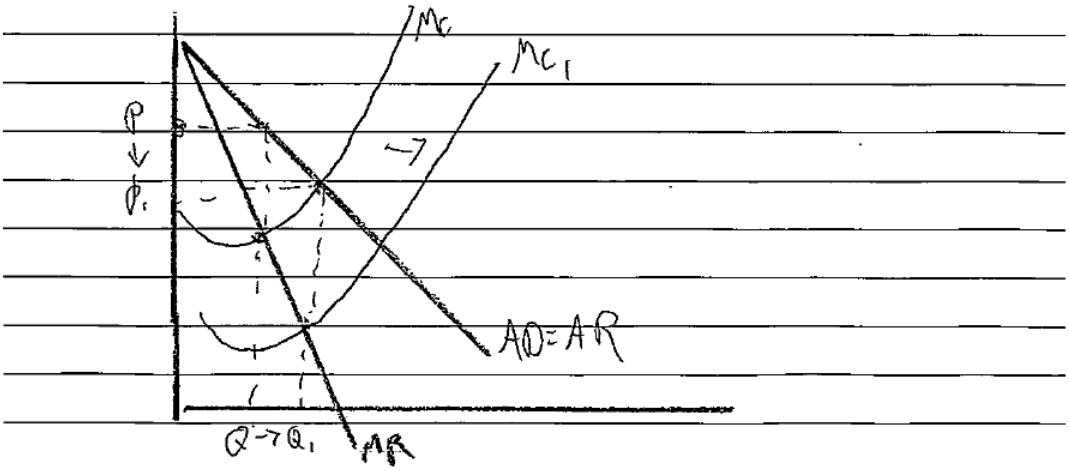
Since Microsoft has very high barriers to entry and enjoys economies of scale it could be considered as a price setter as shown below.



Assuming microsoft was profit maximizing it will produce where MR=MC as the additional cost of producing is equal to the additional revenue earned. Producing at such a price will mean that microsoft could reap supernormal profits which corresponds to area (1) however this is lost consumer surplus as consumers will receive lower quantity at a higher price. Furthermore Microsoft will be allocatively inefficient since it does not produce where price = marginal costs meaning consumer and producer surplus, unlike a perfectly competitive firm will not be

maximized. Meaning, ~~less scarce~~ scarce resources are not allocated efficiently. Moreover, unlike a perfectly competitive firm, microsoft will not be productively efficient since it does not produce at minimum ATC and as a result incurs extra costs.

Additionaly, as it is a price setter and it enjoys higher barriers to entry it will face a more price elastic demand curve and would be able to sustain its supernormal profits in the long run. This a key argument for monopolies like microsoft in enjoying high amounts of market power. Since with supernormal profits unlike perfectly competitive firms it would be invest in research and development meaning it is dynamically efficient. With this R and D microsoft may invest back into the business lowering per unit costs of production, for example it could invest in better (chip) manufacturing. Moreover, with this economic profits it can earn better economies of scale.



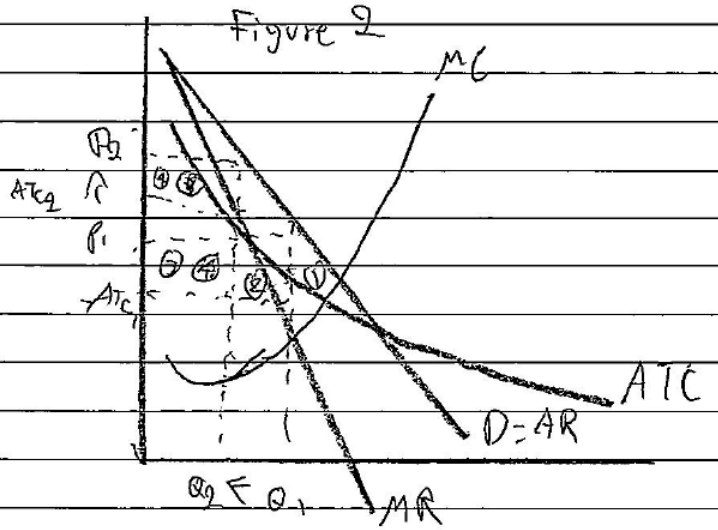
By improving its costs of production Microsoft may experience a lower marginal cost curve (MC to MC1) this will increase quantity and lower prices that improving consumer utility and surplus and improve income equality since lower income households may be able to purchase computers, thus raising standards of living and quality of education. However a key counter argument for this is that due to firms facing low competition it may be unincentivized to invest in research and development. This is why most governments pursue anti monopoly activities like making predatory pricing illegal to increase competition.

On the other hand a natural monopoly like SMRT in Singapore may be allowed to exhibit a high degree of market power as it is characterized by its high economies of scale and it is producing a merit good (transportation) which is vital for the standard of living of many Singaporean individuals. If it did not enjoy such high degree of market power and another firm was to surpass the higher natural barriers to entry and produce services like SMRT along with SMRT.

↓ Transportation (Continue next booklet)

1 (b) It may result in a duplication of resources and greater allocative inefficiencies

Figure 2



SMRT initially produced where MC=MR meaning they charge P_1 and produce Q_1 output. It is worth mentioning that ATC is asymptotic due to the high amounts of economies of scale. However, If another transportation company decided to produce along with SMRT it will result to higher prices and reduces quantity (P_1 to P_2) and (Q_1 to Q_2) as a result of duplication of resources.

this will increase the welfare loss from area 1 to area 1+2 in figure 2 due to the increased allocative efficiency, furthermore both firms may enjoy less supernormal profits meaning less potential R and D, this can be shown in figure 1 from the reduced area (from 3 to 4) meaning les potential research and development. furthermore higher prices (P to P_1) along with lower quantities (Q to Q_1) will reduce income distribution since a great percent of low income households is ~~to~~ public transportation, ~~Also, it~~ Also, lower supernormal profits may result to lower dynamic efficiency, meaning although a natural monopoly is allocative inefficient, along with productive a more inefficient outcome may result ~~as~~ from a new firm entering the market area (1) to area (1+2) Therefore, in order to reduce such inefficiencies ~~were~~ the singaporean government may opt to nationalization as a means of improving efficiency, Udike a perfectly competitive firm.

In conclusion, high degree of market power as in the case of natural monopoly could be most efficient outcome. And in the case of a monopoly greater competition may induce lower prices and more quantity.